CASE FILE 08

# Pass Lane Driving School

Product line: driver's training packages

Pass Lane is a driving school with locations in the northwest suburbs. Right now every student buys the same package, and Pass Lane is losing customers on both ends.

**Your job:** Build a lineup of three versions, one for each segment below. For every version, choose its features and set its price. Your goal is the most total profit across all three.

## THE MARKET: THREE SEGMENTS

Pass Lane Driving School surveyed people in the Chicago area. The survey split them into three groups. Read the profiles, then give each segment a name.

| SEGMENT A<br>6,000 potential customers | SEGMENT B<br>1,500 potential customers | SEGMENT C<br>3,500 potential customers |
|---|---|---|
| • Parents of 15-year-olds starting the permit process<br>• The parent pays, the teen drives<br>• Worried about their teen driving with friends<br>*"Just get my kid licensed without me panicking in the passenger seat."* | • Adults ages 20 to 35 who never got a license<br>• Nervous about highways and city traffic<br>• Works full time during the week<br>*"I'm 26 and I've never driven on the Kennedy."* | • Teens who already practiced plenty with family<br>• Just need the required minimum and a car for the test<br>• Paying with their own money<br>*"My dad taught me. I just need a car for the road test."* |
| **Our name for them:** _____ | **Our name for them:** _____ | **Our name for them:** _____ |

## PRODUCT BASICS

| | |
|---|---|
| **Base cost of every version** | $120 per student, before any features are added |
| **Price options** | $225 $300 $375 $475 $600 $750 (each version must use one of these prices) |

## WARM-UP: READ THE DATA FIRST

**1.** Which segment has the most must-have features (60% or higher)? How many does it have?

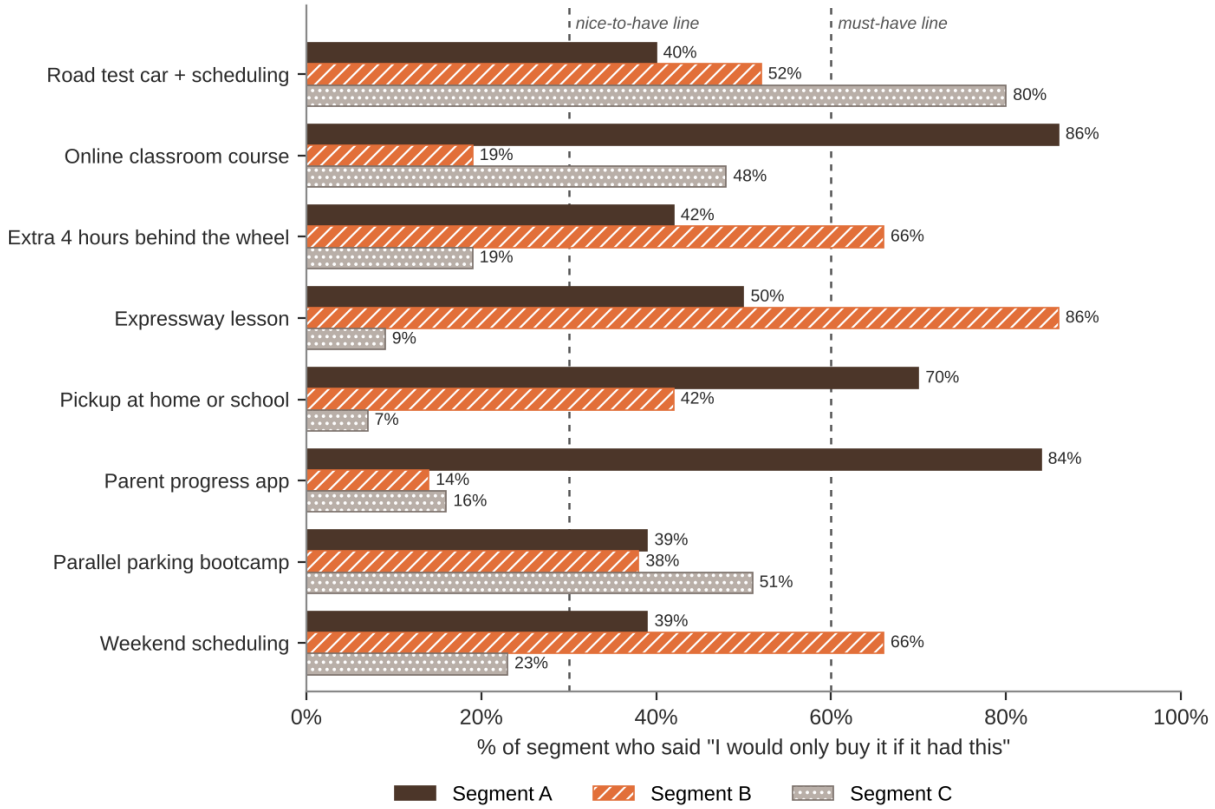
**2.** What is the most expensive feature on the menu? Which segment, if any, says it is a must-have?

**3.** What is the lowest price at which fewer than half of Segment B would buy?

**4.** If Pass Lane Driving School sold a version with a Fit of 100% to Segment A at $375, how many people would buy it?

## SURVEY RESULTS: WHAT EACH SEGMENT REQUIRES

*Question asked: "Which of these would a driver's training package need to have before you would buy it?"*



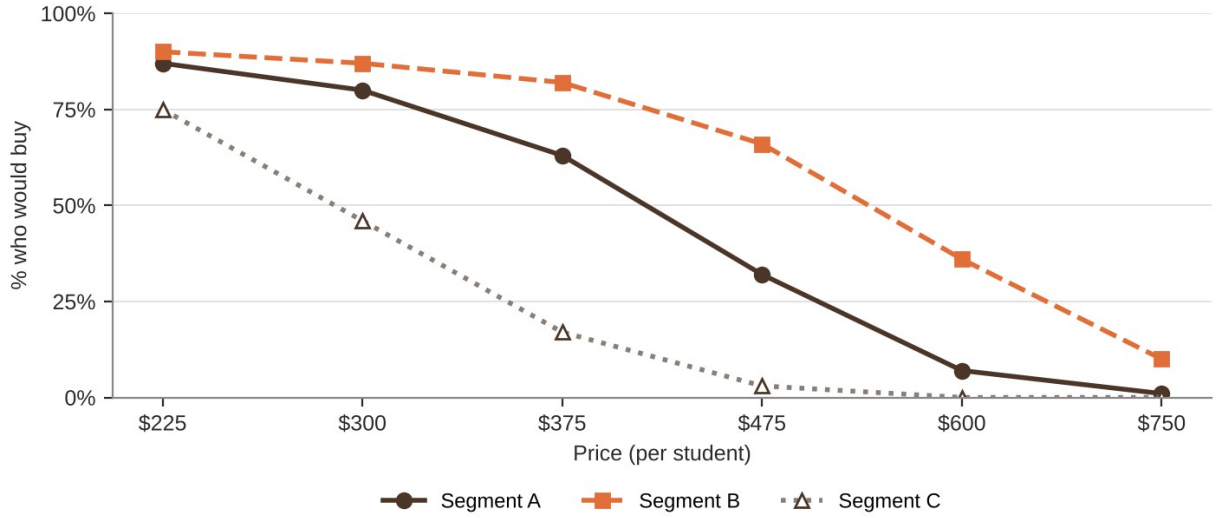

## FEATURE MENU

Every feature you add raises your cost per student. Add a feature to any version you want.

| Feature | What it is | Cost to add |
|---|---|---|
| **Road test car + scheduling** | We book the test and provide the car | $40 |
| **Online classroom course** | The required 30-hour course for teens | $25 |
| **Extra 4 hours behind the wheel** | More practice with an instructor | $110 |
| **Expressway lesson** | A full lesson on the expressway | $45 |
| **Pickup at home or school** | Instructor picks the student up | $30 |
| **Parent progress app** | Parents see lesson notes and scores | $10 |
| **Parallel parking bootcamp** | One hour of parking practice | $20 |
| **Weekend scheduling** | Lessons on Saturdays and Sundays | $15 |

## SURVEY RESULTS: WHAT EACH SEGMENT WILL PAY

*Question asked: "If it had everything you need, would you buy it at this price?"*




**% of each segment who would buy at each price**

| Price | $225 | $300 | $375 | $475 | $600 | $750 |
|---|---|---|---|---|---|---|
| **Segment A** | 87% | 80% | 63% | 32% | 7% | 1% |
| **Segment B** | 90% | 87% | 82% | 66% | 36% | 10% |
| **Segment C** | 75% | 46% | 17% | 3% | 0% | 0% |

## QUICK RULES

| | |
|---|---|
| **Must-have** | A feature that 60% or more of a segment requires. Leave one out and that segment's buyers are cut in half. Leave two out and they're cut in half again. |
| **Nice-to-have** | A feature that 30% to 59% of a segment requires. Each one you include adds 5% to Fit. |
| **Under 30%** | That segment doesn't care. It adds cost and nothing else. |
| **Fit** | Start at 100%. Add 5% for each nice-to-have included. Then cut in half for each must-have left out. |
| **Buyers** | Segment size × % who would buy at your price × Fit. Round to a whole number. |
| **Profit** | Buyers × (Price − Unit cost). Unit cost = base cost + cost of every feature you added. |